cover when you are older or in poor health, you may end up having to pay a higher premium to the standard rate applicable to a healthy person in your age group. The reason insurers charge a higher premium for people with poor health or any such reason is to make the pool homogenous. Else, a person with good health ends up subsidising a person with known poor health, which goes against the principles of insurance.

CHOOSING THE RIGHT POLICY

Do not keep chasing the best policy, as a single policy is unlikely to be sufficient for you. At each stage of your life, your financial commitments and responsibilities change. Due to these changes, your life insurance needs are dynamic, which means no single policy is sufficient for your entire life. From time to time, you will need to review your existing life insurance cover and add policies to supplement it. You may also want to discard some policies and buy a new policy instead. One can arrive at solutions for such situations on one's own or in consultation with an expert.

There is a lot to choose from the life insurance policies that are available, not just across insurers, but also the type of policies that exist (see *The Many Policies on Offer*). It also depends on the life stage you are in and what you wish the policy to do for you. For instance, at a basic level, you need life insurance to take care of future financial obligations,

LIFE INSURANCE THROUGH LIFE STAGES

STAGE OF LIFE	LIFE INDICATORS	INSURANCE NEEDS
Starting Out 	↘ You are discovering financial independence ↘ You have a bucket list of financial goals, but less financial resources ↘ You may not see life insurance as a need because you have no dependants	↘ A term plan to cover for debts ↘ Part of group insurance if provided as employee benefit ↘ Insurance costs less if you start young
Married 	↘ You have financial commitments even if your spouse is working ↘ You are adding assets–car, house, etc.	↘ A basic term policy to cover new debts ↘ Additional term plan to protect spouse ↘ Savings and investment plans
Married with young kids 	↘ You need to provide for your children's education ↘ You need to have a higher cover to match increased financial commitments	↘ A basic term policy ↘ A children's plan with waiver of premium benefit
The middle years 	↘ Children are growing and so are their financial needs ↘ You are at the peak of your career ↘ You may be at the last leg of paying off long-term debts (home loan)	↘ Add term cover if your financial situation has changed or you have added debt ↘ Think of savings towards retirement
Change in circumstance	↘ Your children have left home ↘ You are single again (widowed or divorced)	↘ Reduce cover if you have fewer dependants ↘ Re-evaluate your life insurance
Approaching retirement	↘ Your savings have gone up ↘ You have fewer or no debts ↘ You are looking forward to life in retirement	↘ Revisit your life cover ↘ Consider creating an income stream from retirement policies taken in the past
Retirement 	↘ You are living off your savings and investments ↘ You are part of a retirement benefit scheme	↘ You wish to leave a legacy for your dependants